

Torrent Pharmaceuticals Ltd | TORNTPHARM | Healthcare

Torrent Pharmaceuticals Ltd is one of the leading Indian Pharmaceutical Company engaged in research, development, manufacturing and marketing of generic pharmaceutical formulations. It is the flagship company of Torrent Group which also has presence in power and city gas distribution businesses.

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
24.15%	23.53%	15.44%	0.59	6.93%	3106.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	5816.0	1377.0	934.0	24.0%	28.0
2018-03	5950.0	1349.0	678.0	23.0%	20.0
2019-03	7673.0	1983.0	436.0	26.0%	13.0
2020-03	7939.0	2170.0	1025.0	27.0%	30.0
2021-03	8005.0	2480.0	1252.0	31.0%	37.0
2022-03	8508.0	2431.0	777.0	29.0%	23.0
2023-03	9620.0	2842.0	1245.0	30.0%	37.0
2024-03	10728.0	3368.0	1656.0	31.0%	49.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	9.23%	12.68%	1.28	1552.0	12.96%
2020-03	21.25%	14.29%	1.2	1622.0	11.36%
2021-03	21.45%	17.01%	0.83	1561.0	3.66%
2022-03	13.05%	17.65%	0.68	1607.0	7.9%
2023-03	20.09%	18.46%	0.87	33.0	10.09%
2024-03	24.15%	23.53%	0.59	3106.0	6.93%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	85.0	4640.0	6038.0	14113.0
2020-03	85.0	4739.0	5784.0	14010.0
2021-03	85.0	5753.0	4874.0	14075.0
2022-03	85.0	5868.0	4070.0	12906.0
2023-03	169.0	6029.0	5369.0	14610.0
2024-03	169.0	6687.0	4022.0	14505.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	1803.0	-196.0	-1781.0	-174.0
2023-03	2368.0	-2335.0	77.0	110.0
2024-03	3266.0	-160.0	-2780.0	327.0

Capital Allocation Pattern

Reinvestor

Strengths

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Consistent dividend yield above 2% backed by positive free cash flow

Concerns

- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss